TAM CAPITAL

ICAAP Policies and ProceduresV.1

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1- Key Risk Management Policies

The following are some of the key risk management policies in place. As the business grows, other policies viz. Information Security Management Policy, Code of Ethics, AML / KYC Policy will be implemented as necessary.

A) Enterprise wide risk management policy

- Committee Charters
- ICAAP Policy
- Capital Planning Policy (Part of ICAAP)
- Investment Policy

B) Operational risk policies

- Risk Management policy
- Compliance manual

2- Material Risk Identification Process

The company will consider only material risks for ICAAP. Non-material risks will be identified and documented, however they will be excluded with adequate justification for excluding them.

Risk Identification Process comprises the following key methodologies that provide a basis for prioritizing key risks. Material risk identification is an integrated process involving the following

techniques as well as other Business Unit level initiatives. All the identified risks are communicated to Senior Management for appropriate action.

A) Due Diligence Process to Mitigate Investment Risk

All investments are made only after proper approval by the Investment Committee. The investment philosophy is based on the objective of attaining the maximum returns to customers with the minimum degree of acceptable risks. To achieve this, the investment portfolios are carefully designed with proper diversification according to customer's investment targets, risk appetite and investment horizon. Before entering into any investment, the fundamental and technical researches, studies and analysis for the planned investment are conducted.

TAM Capital pays the professional due care to know and understand customers, and to understand their investment objectives before designing and providing the investment solutions in order to ensure that these solutions are according to their needs, preferences, interests and risks tolerability.

TAM Capital cares about risk management, which is considered as one of the basic elements for success of investment in general. The investment strategies are built to integrate with the proper principles of risk management. **TAM Capital** continuously determines, assesses, measures and manages risks associating every investment fund.

The investment strategy is implemented based on specific investment standards and risks limits proposed and controlled by the Investment Committee in the company and approved by the Board of Directors. Based on such standards and limits, the management team studies every investment
opportunity in terms of economic, financial, operational and marketing aspects before adding or disposing an asset to/from investment portfolio.

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In addition to internal researches, **TAM Capital** may also use researches prepared by external qualified parties before selecting or proposing a specific design or asset selection for investment portfolio. Every time, the management team members strictly comply with the investment strategy and they work towards the proper diversity of the portfolio to minimize its risks and enhance its returns.

B) Risk Registers (Risk Matrix)

A Risk matrix is used risk assessment to define the various levels of risk and to get a quick view of the probable risks evaluated in terms of their likelihood or probability and the severity of their consequences. As a result, the assessment of risks from the perspective of inherent and residual characteristics of an exposure would be available. Residual risk is the remainder of risk after internal controls have been implemented and monitored. This gives an idea to the top management on which risks **TAM Capital** will face even after various mitigation methods have been applied and help improve their planned risk treatment.
TAM Capital recently hired a new Audit & Risk Officer that will also be in charge of the Risk Function. Risk assessments for all departments & products are evaluated on a quarterly basis. As part of the evaluation, the risks are rated depending on risk level matrix based on the probability & Impact level & this is reflected on the Risk P&P. Also, the risk matrix are reviewed annually and updated if business need
Mitigation plan, action plan and due dates will be defined for each major risk. This will help the company manage operational risks in a formal structured manner.

C) Internal Audit Function

The company's internal audit function focuses on the appropriateness of controls instituted in the company's processes. External auditors are used to support the internal team. Auditor's review outcome and recommendations will be addressed on a priority basis to strengthen the company's control environment.

D) Compliance Function

The company has a Board approved Compliance Manual. The purpose of this manual is to document the **TAM Capital**'s key obligations with regard to the Capital Market Authority's "CMA" rules and regulations and what derives from these regulations related to a company and its employees, and towards the company's customers. This Manual, apart from the above-mentioned objectives, provides a summary, of the applicable Authorized Persons Regulations "APRs" issued by the Board of Capital Market Authority, for the guidance of employees.

3- Pillar I Risks and Calculation Methodologies

The key risks facing the company have been identified with details of how management measures those risks and what controls and mitigants are in place to limit those risks. Stress testing is also employed to try and ascertain what the key sensitivities are and to try and ensure that adequate capital is in place to cover stressed scenarios.
The main risks that the company is facing as per Pillar 1 is as follows:

A) Credit Risk

Credit risk is one of the most important risks that **TAM Capital** faces in its operations and it is the risk arising out of failure of one or more of its major counterparties. It could be defined as the risk of a potential loss of cash reserves due to a client failure or an obligor's non-payment of an outstanding debt.
Credit risk is principally controlled by establishing and enforcing limits and by defining exposure levels to counterparties and checking the creditworthiness of counterparties that are not related parties. To mitigate this risk, **TAM Capital** has diversified its banking relationships across local Saudi and international banks. It is to be noted that bank deposits in Saudi Arabia is guaranteed by the Saudi Arabian Monetary Agency.

B) Credit Risk Measurement

The company shall measure and maintain capital for credit risk as per the methodology set by CMA under Standardized Approach. **C) Market Risk**
Market risk is the risk that the value of an investment will decrease due to movements in the market. The CMA has listed the following as key market risks: equity & fund risks, interest rate risk, commodities risk, foreign exchange risk, underwriting risk and settlement risk. . The company is exposed to specific risk and general market risk on its equity positions and investment funds.

D) Market Risk Measurement

Various risk limits have been put in place. These limits work as active tools to control market risks emanating from changes in the value of market variables such as, equity prices.

E) Operational Risk

Basel II requires banks/companies to have sufficient capital to cover Operational Risks. Operational Risk is defined as risk of loss resulting from inadequate or failed internal processes, people and systems as also the risk of loss arising from external events. More than the regulation, Basel II provides opportunity to improve internal control and risk measurement processes supplemented by supervisory review process and market discipline through Pillar II as well as Pillar III of the Accord

The regulatory framework outlines various methods for calculating operational risk capital charges in continuum of increasing sophistication and risk sensitivity.

Risks in this category are broad in nature and inherent in most businesses and processes and cover the following:

- Fraud or the risk of loss from financial crime.

  TAM Capital aims to minimize the opportunity for fraud and financial crime through segregation of duties and due process. Employee background checks followed by the company while recruiting employees, employee code of conduct, compulsory leave policy and job rotation policy of the company will help minimize frauds. The Compliance officer also promotes staff awareness through regular training with regard to relevant policies and regulations. **TAM Capital** shall appoint a senior employee as Money Laundering and Terrorism Finance Monitoring Officer (MLRO). The MLRO is responsible for ensuring compliance with the requirements of the AntiMoney Laundering Law and its implementing regulation and reporting to the governing body on matters relating to money laundering and terrorism financing.

F) Outsourcing risk

This is the risk of loss or reputational damage as a result of service failure on the part of an outsourced service provider. Defining due diligence process for selecting outsourcing agency and the process for annual review of the outsourcing arrangement helps minimizing outsourcing risks.

G) Employee retention

TAM Capital recognizes that due to its small size there is an operational dependency on key individuals and the loss of a member of any of the committees or a key investment or distribution professional could have a material adverse impact on revenues. **TAM Capital** believes that the human element is the real return generating investment. Therefore, it has included in its strategy the issue of soliciting and attracting the qualified staff to add value to the company and to provide the incentive professional environment that may

motivate for the loyalty and creativity and to make available the continuous development means.
Internal and external training is also imparted to the staff.

H) Legal action

The risk of liability related to litigation from clients, staff or third parties is covered under legal action. This risk is mitigated by compliance with existing legislation, which is reinforced by internal policies and monitoring checks.

I) Business continuity and disaster recovery

Physical disasters affecting **TAM Capital**'s premises and continued operations could come in many different forms – fire, flood, failure of IT systems, hacking, etc. Each of these different threats presents a risk to the company. However, the impact of these different threats materializing will have many common implications, which are detailed in the Disaster Recovery and Business Continuity Plans of the company.
Access to physical premises as well as to information systems of the company needs to be controlled to avoid any unauthorized misuse. Appropriate electronic access control systems are being provided for entry into the organization. The company's business is heavily technology dependent. In order to ensure uninterrupted operations, it is the policy of the organization to provide for back-ups of the following aspects of the business:

- Data & information technology software
- Power supply (including UPS & Generator)
- Business continuity in case of extreme events
- Stand-by equipment (e.g. servers) that could be used on the failure of the equipment in service.
- TAM Capital is seeking towards go life with cloud server

4- Risk Analyzed - Pillar II Risks

Pillar II risks have been identified in compliance with regulatory guidelines. Where possible, the identification and measurement is quantitative else it is measured in a qualitative manner using scorecards. The company has adopted a "Pillar I plus" approach for capital adequacy. This means that the capital requirements will be determined as Pillar I capital requirements PLUS additional capital for Pillar II risks.

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A) Pillar II Material Risks Methodologies

Considering the business profile of the company's Balance Sheet and the present business lines handled by the company, it will analyze and assess the risks given below on an annual basis. These Pillar II risks are considered material by the company.

B) Summary of Pillar II Risks

The risk assessment process and assumptions are given below.

Risk Type	Assessment process	Assumptions
Concentration Risk	Evaluation with reference to internal / statutory limits / large exposure limits, benchmarks and stress testing.	Company assumes that the limits fixed for various items will serve as the benchmark for safe functioning in the normal course and exceeding the limits will place additional concentration risk.
Liquidity Risk	Liquidity Ratios	Company assumes the Liquidity Ratios fixed by the company will adequately take care of the liquidity management.
Reputational Risk	Qualitative assessment	Management through proper checks and controls.
Strategic Risk	Qualitative assessment / Scorecard method	Management through proper strategic framework.
Regulatory Risk	Qualitative assessment	This risk is assessed qualitatively and managed through proper checks and controls
Legal Risk	Insignificant Qualitative assessment	These risks are assessed qualitatively and managed through proper checks and controls

Settlement Risk	Negative price difference of unsettled transactions is taken and depending upon the no. of days that transactions are unsettled applicable RW is applied and capital charge is calculated	Not Applicable as there are no unsettled transactions in trading book. The settlement is guaranteed by the exchange.

C) Disclosure for each material Pillar 2 risk

For each Pillar II risk, the company has provided an explanation of how the risk has been assessed, the quantitative results and relevant mitigating actions and/or controls.
The subsection and format of each of the Pillar II risk is as below.

- Risk Assessment Methodology
- Risk Measurement methodology (Quantitative / Qualitative)
- Risk Mitigation
- Capital impact and Allocation

D) Concentration Risk

The regulators worldwide consider concentration risk as a material Pillar 2 Risk. Concentration risk is predominantly a subset of credit risk. Concentration Risk is a fairly broad term that references to an exposure with the potential to produce losses large enough to amplify company's losses by increasing its exposure to credit risk. A high level of concentration exposes a company to adverse changes in the area in which credits are concentrated.
Credit risk concentrations may involve large exposures to groups of connected clients. These groups refer to companies, which are legally or economically connected in such a way that a majority of the individual companies in the group would encounter repayment problems if a single one of them encountered financial difficulties. Credit risk concentrations can generate such large losses that the risk-bearing capacity and continued existence of the company might be endangered.
Thus, Concentration risk may be defined as a concentration to any single exposure or a group of exposures with the potential to produce losses large enough (relative to a company's capital, total assets, or overall risk level) to threaten the company's health or ability to maintain its core operations

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E) Types of Concentration risk

Concentration risk can take many forms and can arise whenever a significant number of credits have similar risk characteristics. Large exposures and high correlation between exposures could increase the amount of losses for the company, and can arise from the following: Revenues generated from a particular geographical regions / jurisdiction

- Revenues from a specific client
- Revenues from a specific product
- Revenues from a particular industry or economic sectors

F) Risk Assessment Methodology

Concentration Risk is managed through prescription of various prudential / exposure limits. There is administrative and accounting procedures, systems and controls to identify, measure and monitor cases of large exposure and report it as follows:

1- There A statement of the components of the company's investment portfolio and the weight of each investment in the portfolio is prepared on a monthly basis and presented to the CEO, CIO and Managing Director of the company, discussing the presence or possibility of any large exposure to any of the components of the investment portfolio.

2- The Financial Department measures on a monthly basis 25% of the Tier 1 of capital at the end of each month, measures the extent of any approach to exceeding that limit, and works to monitor any investment that approaches the concentration risk limit of 80% or higher and report on it in the suitable time.

When any cases of large exposure occur and the excess within 1% to 10% from 25% of Tier 1 Capital, it is reported immediately to both the CEO and the MD and discuss how to treat it as soon as possible.

If the large exposure case the excess more than 10%, reported additionally to Audit & risk committee to discuss that case, and notify the BOD.

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GEOGRAPHIC CONCENTRATION

Credit risk concentrations may also emerge due to large exposures to a particular region/location. Any calamity or other events may affect a particular region adversely which may result in large credit losses and thus monitoring and ensuring geographical diversification is key to mitigate such concentration risks. The company realizes the importance of monitoring and controlling this risk and plans to monitor geographic concentration in the coming years. The company is marginally exposed to geographic concentration as its entire investments are in Saudi Arabia

- The Saudi Economy is characterized by its rapid response to the various economic variables at the local, regional and international level. The evidence of the rapid response and progress is obvious through the advanced ranking of the Kingdom in the international classification year after year, as the Kingdom of Saudi Arabia now occupies the fifth class in terms of financial liberalization.
- The Kingdom of Saudi Arabia has tax system being internationally classified in the tenth class – as one of the best tax systems that motivate the investment.
- Saudi Arabia is one of the biggest 20 countries in the world that has the biggest economy in the Middle East and North Africa.
- Attractive investment environment and may easily cope with the world variables. The biggest free markets in the Middle East and North Africa.
- Saudi Arabia acquires 25% of the Gross Domestic Product (GDP) in Arab World.
- Saudi Arabia has approximately 25% of the world oil reserve

In view of the above, the company does not actively monitor geographic concentration, as the company is aware that the geographic concentrations are a result of its business model. Further, the exposures are well diversified.

CONCENTRATION RISK – EMPLOYEES

TAM Capital recognizes that due to its small size there is an operational dependency on key individuals and the loss of a member of the Management Committee or a key investment or distribution professional could have a material adverse impact on revenues.

CONCENTRATION RISK – PRODUCT

TAM Capital has a high concentration of income from Asset Management. More than 60% of the income is generated from Asset Management. The Board is aware of this concentration and the related credit concentration risk.

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G) Risk Mitigation

The company has in place the following mitigating steps and controls to mitigate concentration risk.

- The company has in place comprehensive limit systems which identify large individual exposures/connected counterparties; and reflect ongoing portfolio monitoring and risk appetite in terms of concentration risk. These shall be further enhanced.
- The company shall identify various industries/ sectors in which the company shall confine its exposure in order to achieve diversification of the risk.
- Monitoring is carried out at periodic intervals at corporate level. Reports on status of adherence to exposure limits and measurement of concentration risk through HHI shall be placed before the Audit & Risk Committee and the Board is apprised through reporting of the gist of minutes of these meetings.
- Management takes all necessary steps to bring down the exposure to a particular sector, product, which results in substantial increase in concentration risk.
- In addition to the procedures described in point no. F.

  Concentration risk is principally controlled by establishing and enforcing limits and by defining exposure levels to counterparties and checking the creditworthiness of counterparties that are not related parties. To mitigate this risk, **TAM Capital** has diversified its banking relationships across several local Saudi and international banks. It is to be noted that bank deposits in Saudi Arabia is guaranteed by the Saudi Arabian Monetary Agency (the Central Bank).

EMPLOYEE CONCENTRATION

TAM Capital believes that the human element is the real return generating investment. Therefore, it has included in its strategy the issue of soliciting and attracting the qualified staff to add value to the company and to provide the incentive professional environment that may motivate for the loyalty and creativity and to make available the continuous development means.

TAM Capital 's personnel will be granted minimum limit of professional training hours (40 training hours annually) to be provided via local or international service providers. In addition, the company will organize internal training courses to be provided by the department managers for conveying the experience and knowledge to the personnel of the company in its business fields. The above strategies will help employee retention.

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CAPITAL IMPACT AND ALLOCATION

Concentration Risk will be assessed by (a) on the basis of company's income from different activities (b) on the basis of reduction in company's income due to key employees of the company leaving the company. The risk level as indicated by either of the above methods will trigger management action.
Audit & Risk Committee shall meet regularly and evaluate the risk and shall take remedial action and try to mitigate risk. Board shall also provide strategic inputs on limit setting for concentration to align concentration limits with overall business plan.

H) Liquidity Risk

Liquidity Risk is the 'potential for loss' to **TAM Capital** arising from either its inability to meet its obligations or to fund assets as they fall due without incurring unacceptable cost or losses. Liquidity Risks can be classified as:

- Funding liquidity risks: Need to replace net outflows.
- Time risk: Need to compensate for non-receipt of expected inflows, Call risk: Due to crystallization of contingent liabilities.

Liquidity Risk is best understood as Funding Liquidity Risk - the risk that the company will not be able to efficiently meet both expected and unexpected current and future cash flow needs without affecting either daily operations or its financial condition. This is the risk that **TAM Capital** does not have the available resources to meet its payment obligations as they fall due or can only secure such resources at excessive cost.

I) Risk Assessment Methodology

The company identifies the liquidity risk on an on-going basis. To mitigate these risk company, maintain enough cash to pay all projected operating costs for a period of 6 months. In respect of investing in long term projects, **TAM Capital** mostly invests in its own products. The finance risk does not pose any threat at the present time at the operational level due to the availability of the funds required for financing the company's business. However, the company's investment portfolio is considered as one of the success elements of the aim for magnifying the returns on the capital. On this concern, the company will prepare the financial studies required by the financing parties for approving credit line of its financing needs for three years.
All investments are managed through the investment committee and regular reporting on performance and risks are made by the respective Head of Departments on the use of the company's capital.

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J) Risk Measurement Methodology (Quantitative / Qualitative)

In order to ensure adequate liquidity availability and healthy funding profile, the company uses various metrics and internal controls. The liquidity risk measurement approach is qualitative and EWI (Early Warning Indicator) based. Cost to revenue ratio is one such metric. The company has proposed a cost to revenue ratio of 70% as cap in the risk appetite statement, the EWI being set at 60%.

Description	Liquid Ratio	Comments
Short term liquidity	Total Liquid Assets / Total Annual Operating expenses	Helps to ensure that company is able to meet short term liabilities
Cost to Revenue Ratio	Total Annual Operating Costs / Total Revenue for the year	This ratio helps to minimize excessive expenditure vis a vis revenue. A controlled ratio would mean that the company's efforts to minimize expenses during period of low revenue have been successful.

As the company is highly liquid, the above ratios are sufficient to monitor liquidity risk.
The company realizes that in the future, once the Balance Sheet grows, impact of liquidity risk can be high when the company starts taking debt on its balance sheet. At that point, **TAM Capital** will initiate calculating liquidity risk using Asset Liability mismatch. Further, as per Basel, Liquidity Cover should be calculated by dividing 'liquid assets' by 'total net cash outflows over a 30 - day stress period'. The Company will take these additional Asset Liability mismatch and expense timing aspects in the future.

K) Liquidity Early Warning Indicators (EWI)

Early warning indicators help in identifying the emergence of increased risk or vulnerabilities in the company’s liquidity risk position or potential funding needs

The EWIs measure the Liquidity Risk position of the company from various perspectives, including the following:

- Adequacy of Funding Buffer
- Stake of the company in specific Funding-markets
- Unutilized Banking Limits
- Adherence to Regulatory Limits
- Repeated incidents of breach of internal limits

- Difficulty in accessing long term funding

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L) Risk Mitigation

Liquidity risk is mitigated by the fact that **TAM Capital** has no debt, maintains cash levels in excess of regulatory capital requirements and its main cost items are salaries and staff costs and costs for sales promotion. It also includes the risks that investments in illiquid instruments cannot be exited in an efficient manner in the event of a downturn.
To mitigate these risks the company shall maintain enough cash to pay all projected operating costs for a period of 6 months. In respect of investing in long term projects, **TAM Capital** only invests in its own products. All investments are managed through the Investment Committee and regular reporting on performance and risks are made by the respective Head of Departments on the use of the company's capital.

M) Capital Impact and allocation

The company uses a variety of risk-measures to assess its liquidity risk exposure on a regular basis and actively manages the risk through liquidity Ratios and EWI framework. A strong liquidity risk measurement framework and not the maintenance of additional capital help sustain the company during times of Liquidity stress. Recent events have shown that even the well-capitalized institutions have succumbed to liquidity crises.
Based on the results of the liquidity measures, the company concludes that liquidity risk is low for the company. The company is adequately liquid to meet liabilities.

N) Reputational risk

Reputational risk is the risk of indirect loss (current or prospective) and indirect risk to earnings and capital arising from adverse perception of the image of the financial institution on the part of customers, counterparties, shareholders, investors or regulators. It is manifested in the fact that the external opinion on the institution is less favorable than desired. Reputation is the company's most vital intangible asset. While it takes enormous effort to protect the reputation, it does not take much to lose it.
Reputation risk could arise due to compliance failure, failure to provide agreed service to customers or even due to failure to carry out adequate due diligence before admitting a customer into a relationship
This is particularly relevant and therefore have to convince customers that they are credible and can offer good products and services expected from high profile

investment banks. In order to protect its reputation, **TAM Capital** needs to have the operational systems and control to mitigate this risk.

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O) Risk Assessment Methodology

The company takes due care to ensure that it is able to increase its brand value and mitigate risks.
For a small firm, limiting damage to reputation ensures revenue growth and increased earnings. Given below are some of the ways in which reputation risk is identified and assessed.

- **Business Continuity -** System downtime related reports are generated by the IT Department. This helps the company to evaluate the trends in system downtime and the cause/impact of such failures.
- **Regulator related Reputation Risk and Regulatory Penalties** - Non-compliance of various requirements leads to regulatory penalties, which then can be huge reputational risk. In order to ensure adherence to various regulatory requirements and to minimize regulatory penalties, company has taken some of the following important measures like:
  - Prior to launch of any new product / process, the company ensures that all regulatory guidelines are incorporated into these product / process notes which would be the guiding document while carrying out the business or processing of transactions.
  - Internal Audit review for non-compliances with regulations. - Compliance Department monitors for proper compliance.

- **Effective Management of Legal Risk -** The Company has a separate compliance function, which is consulted from time to time to strategize / review legal issues involved.
- **Reputation impact due to Anti Money Laundering Noncompliance -** The Company is required to ensure effective AML procedures to support SAMA efforts against money laundering. The MLRO is responsible for ensuring compliance with the requirements of the Anti-Money Laundering Law and its implementing regulation and reporting to the governing body on matters relating to money laundering and terrorism financing

P) Risk Measurement Methodology (Quantitative / Qualitative)

Since reputation risk is difficult to quantify, measurement is mostly qualitative in the form of an overall judgment on whether reputation risk is high or low. In the future, as the

business increases, reputation risk scorecards may be developed to put a quantitative value to reputation risk.

- conspicuous litigation

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- Negative/Adverse Publicity
- Compliance with laws/regulations

Q) Risk Mitigation

The company has implemented the following procedures and controls to address reputation risk

- Corporate Governance Structure - The company has a strong corporate governance (Board as well as to focus on products with less competition in the market
- To focus on the quality in non-traditional creative products
- To attract highly qualified human resources
- To set up policy for pricing, marketing and penetrating the market – clear professionally designed policy.
- The distinctive media presence and to create distinctive commercial identity
- Internal communications with employees - Formal and informal meetings amongst employees are held whereby performance appreciation and other achievements are shared with other staff.
- Internal audit Function - The audit function evaluates weaknesses in controls that could result in potential internal and external frauds.
- Commitments - Timely honoring of commitments to counter parties.

R) Capital Impact and Allocation

Reputation risk is difficult to quantify and can be best managed by having a strong governance and management framework. The level of risk perceived is moderate and no additional capital is required to be allocated.
Any adverse effects of reputation risk can be absorbed by the excess capital maintained over the regulatory capital levels.

S) Business and Strategic Risk

Strategic risk or business risk means the current and prospective risk to earnings and viability arising from:

- Adverse changes in business environment with respect to the economy, political landscape, regulations, technology and actions of competitors.
- Endeavours to achieve a growth rate or market share that does not harmonize with the market environment

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- lack of timely and proper adherence to environmental changes,
- assignment of inappropriate means to correctly chosen objectives
- Adverse business decisions,
- proper implementation of decisions or poorly timed alignment to changes in the business environment, or specific actions that do not comply with strategic objectives Lack of responsiveness to changes in the business environment.

The company operates in free market and under highly competitive environment. This issue may pose a threat due to the entry of new competitors or expansion of the existing companies' business the matter that may affect on the company's market share – on the assumption of the routine products presented in the investment & financial services sector. In order to reduce the negative impact of these risks the company will acquire appropriate market share and to maintain it.

T) Risk Assessment Methodology

The steps to assess the strategic risk for the company are mainly relating to identification of the key drivers of the risk, assessment of the level, adequacy and effectiveness of the strategic risk management in the company and to formulate a Strategic Risk Scorecard to quantify risk.

Keeping the above definition of strategic risk in mind, the company has identified some of the key drivers of strategic risk:

- Analysis of the company's strategy in terms of the risks involved i.e. Endeavour to achieve growth rate that does not harmonize with internal structure (e.g. setting ambitious growth target without providing adequate manpower support and technological up-gradation)
- Company's current and intended future markets;
- Inability to diversify business
- Competitive advantage;
- Company's susceptibility to external influences including political, economic developments and overall regulatory environment.
- Company's vulnerability to reputation risk and its impact on future business strategies.

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U) Risk Measurement Methodology (Quantitative / Qualitative)

Business and Strategic Risk is a risk, which is less readily quantifiable, and as such, focus of ICAAP is more on qualitative assessment, risk management and mitigation than on quantification of such risks.

However, a simple scorecard based measurement approach has been adopted. Results and the parameters used in the scorecard are attached as Annexure to this document.

Business Risk Score	Level of Risk	Additional RWA
0-3	Low	Nil
>3 – 6	Low	Nil
>6 – 9	Moderate	Nil
>9 -13	Moderate	Nil
>13 -17	High	1.0% of Total RWA
>17 -20	High	2% of Total RWA

V) Risk Mitigation

The company has various mechanisms in place to ensure that strategic and business risks are monitored and managed at each stage of the business lifecycle. Some of the significant components of the Risk Mitigation, Risk Monitoring and management elements include:

- **Risk appetite -** The Company has for the first time defined risk appetite statements that it will use to regularly evaluate whether its business is in line with the Risk Appetite defined at the beginning of the year. Any breaches of the risk appetite limits will be addressed by taking appropriate management action to reduce such breach.
- **Board Meetings** - The Board meets at least once a quarter to review the results and other items on the agenda. The Board extensively discusses the annual strategy, budget plans and policies for all the segments of the business of the company.
- **Adequate Internal Reporting -** Appropriate MIS is prepared and reviewed every month vis-à-vis Budgets on various parameters both financial and operational. This enables the company to effectively manage short term and long-term business risks.

- **Budget versus actuals -** Performance against strategic plans and budgets are monitored closely by the CEO and discussed during the Management Committee meetings. A financial review is presented to the Board at each Board Meeting.

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W) Capital Impact and allocation

The Score Card indicates that the level of risk is **Moderate.** The company has medium probability of a material adverse impact on its capital and earnings in the foreseeable future on account of changes in the business environment and from adverse business decisions, improper implementation of decisions, or lack of responsiveness to industry, economic or technological changes.
Although the company's plans for strategic growth are not definite, the company could be impacted by economic shocks as well as exit of key employees.
The company has taken adequate measure to mitigate its business & strategic risk. However, due to the small size, the company is vulnerable to external risk factors, economic downturn etc.
In view of the above vulnerabilities, the company has decided to closely monitor Business /Strategic Risk and consider capital allocation, should the Scorecard score deteriorate next year. At present, no additional capital is necessary for Business Risk.

X) Settlement Risk

Settlement risk is the risk arising from failed transaction i.e. transaction executed is not settled as expected. It is mainly associated with foreign exchange transaction falling in different time horizon and over the counter trades.

- It comprises both counterparty risk and liquidity risk.
- Counterparty risk derives from partial performance, late performance or default of the counterparty.
- Since the transactions are settled through exchange, which guarantees delivery/payment to the parties involved, there is no settlement risk faced by the company.

Y) Risk Assessment Methodology

There are no unsettled transactions in the trading book and hence the company does not face any settlement risk. As such, no additional capital is required to be provided.

Z) Risk Measurement Methodology (Quantitative / Qualitative)

Since settlement risk is not applicable, there are no defined risk measurement methodologies.

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AA) Risk Mitigation

Formal risk mitigation procedures will be defined when in the future, the company enters into trading activities that may subject the company to Settlement Risk.

BB) Capital Impact and Allocation

Since the company is not exposed to Settlement Risk, no additional capital is necessary as part of
Pillar II capital.

CC) Regulatory Risk

The company operates under dynamic legislative environment whereas the capital market authority is continuously developing the regulations and rules governing the company's business. The changes that may occur on the applicable laws and regulations effective in the Kingdom of Saudi Arabia may affect on the company's business whether negatively or positively.
Overstepping the permitted business profile, failure to renew licenses on a timely basis resulting in sudden disruption in business activities, failure to disclose in communication advertisements and notices that company has obtained and has a subsisting license are some other legal risks that the company may face.

DD) Risk Assessment Methodology

In order to reduce the impact of such changes – if applicable – the company will permanently check the amendments to be made on the regulations and to study the impact of such amendments on its business and then to take the required steps for reducing the impact of such amendments and to employ it in a way to serve its business.

EE) Risk Measurement Methodology (Quantitative / Qualitative)

Since compliance risk cannot be measured accurately, the measurement approach is qualitative

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FF) Risk Mitigation

The company addresses all such risks by diarizing critical events and review at supervisory level, keeping checklist of renewal formalities and ensuring that all forms of communication contain the information that the company has obtained license from competent authority. The Compliance manual of the company help achieve the desired compliance to all the above.

GG) Capital Impact and Allocation

Since the company has been compliant with regulations, and as the regulations are well understood by the employees, there is no additional capital requirements for compliance risk.

Other Key Risks

A) FIDUCIARY RISK

Fiduciary risk is defined as the risk of loss arising from the failure in administering or managing financial and other assets in clients' fiduciary accounts' such as the discrete portfolio management account, in case of **TAM Capital**

- to adhere to a fiduciary standard of care if required under the terms of governing documents or applicable laws;
- to properly discharge fiduciary duties.

It is the risk that an agent handling funds on behalf of a principal will not live up to his/her full fiduciary responsibility. The fiduciary risk can arise due to a variety of factors, including lack of capacity, competency or knowledge; bureaucratic inefficiency; and/or active corruption.

Fiduciary risk is very relevant for **TAM Capital** as **TAM Capital** is involved in the Discretionary Portfolio Management business and handles the portfolio of clients. The Company plans to assess Fiduciary risk by determining the proper application of fiduciary standards to each of the individual duties by using the governing documents (e.g.

Discretionary Portfolio Management Service (DPM) Terms and conditions, code of conduct for employees).

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B) VALUATION RISK

Valuation risk is the risk resulting from the understatement or the overstatement of the assets of **TAM Capital** and is especially critical for asset management firms as they have to perform their net asset valuation and report the same to the CMA as well as provide it to the client.

C) LEGAL RISK

The risk of financial loss sanctions/and or reputational damage resulting from contractual risk (the risk that the rights and/or obligations of a Group member within a contractual relationship are defective). Dispute risk (the risk when involved in or managing potential or actual disputes). Legislative risk (the risk that a group member fails to adhere to the laws of the jurisdiction in which it operates) and Non-contractual rights risk (the risk that a group member 's assets are not properly owned or are infringed by others or the infringement by a group member of another party's rights).In other words legal risk is the risk of financial or reputational loss arising from: regulatory or legal action; disputes for or against the company; failure to correctly document, enforce or adhere to contractual arrangements; inadequate management of non-contractual rights; or failure to meet non-contractual obligations.

An elaborate compliance manual helps the company to address all the above risks.

D) LOSS OF KEY CLIENTS

Although a form of Business / Strategic Risk, loss of key clients is a key risk factor for the company. Client loss is typically due to poor performance, poor client relationship management or failure to adhere to investment management agreements.

To address the risk of underperformance, **TAM Capital** relies on the personal relationship, talent of its investment professionals, and the quality of its investment products and services.

- Regular client meetings, internal discussions on client services and delivery and employee trainings on best practices in the industry ensure that the company can deliver quality services.

- Management Committee meetings discuss pricing for various services and it is ensured that the pricing is in line with market so that there is no loss of clients due to higher pricing.
- Once the business volumes increase, the company shall consider client feedback, client complaint processes to evaluate and monitor client dissatisfaction, which could be a key reason for loss of clients.

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5- Capital Planning and Stress Tests

The main purposes of the capital in the company are to provide stability and to absorb losses thereby providing protection to depositors and other creditors in the event of liquidation of the company. Capital is a buffer against unexpected losses. Capital is required for funding economic growth and investing in robust supporting infrastructure such as information technology, risk management and human capital.

A) Business and Strategic Plans Strategies Going Forward

TAM Capital will adopt a number of integrated policies and methods that may improve the success chances of achieving objectives as planned:

Product Development: **TAM Capital** will adopt sustainable development policy on its products in a way to be unique, creative and appropriate for the client's needs (investor), regardless of the class to which the client belongs.

Marketing: Through marketing programs that are designed by specialized marketing companies to be consistent with the governing regulations, **TAM Capital** will create and increase its market share – as per the following:

Direct marketing activities: To make field visits to the senior clients of high net wealth or the corporate investors.

Indirect marketing activities: The news, specialized local press articles, regional and international specialized newspapers and magazines in the financial and business sector, sponsoring conferences and activities related to the finance and business world.

Strategic pricing policies: Fees for various services to be less than market prices at the time of entry and later on rising the same based on volume and nature of fund to match market

Competition management: by focusing on products, integration and avoiding non-capable competition, focus on human resources, commercial identity, distinctive product

Gradual market entry: Initially offering investment opportunities in private offering and later on moving to public offering stage of funds

Follow-up, feedback, monitoring and control: performance review and correction plans

B) Capital Planning Process

Capital Planning is crucial for the survival and leads management to strategic decisions. The company's capital planning process needs to incorporate rigorous, forward-looking stress testing to indicate how much capital might be needed to absorb losses if large shocks occur. Effective capital planning process requires the company to assess risk exposures and consider the potential impact on earnings and capital.

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The company shall always keep adequate capital not only to meet regulatory/ business requirements but also to balance risk/reward on capital to be deployed. Capital levels shall always be sufficient to cover short and the medium term strategies as determined by the Board of Directors and senior management.

Capital Planning is done based on present level of business and projected business for the future. The company projects its capital requirements on annual basis and for the next three years.

DIVIDEND PLAN

Dividend pay-out shall be made considering various factors such as profitability, capital market dynamics, regulatory guidelines and amount to be retained in the company for capital augmentation and for achieving the business growth & risks assumed. The probable dividend pay-out is factored in the capital adequacy computation.

OPTIONS FOR RAISING CAPITAL

Various options for raising capital may be available to the company. The company shall raise capital in the most optimal manner to ensure maximum shareholder value and in the interest of the shareholders. Board of Directors shall evaluate sourcing of capital from following options:

- Tier 1 capital can be increased by infusion of additional equity by shareholders

CONTINGENCY PLAN

The company has reasonably strong capital base, which is usually moreof the regulatory minimum required by the Capital Market Authority (8% from Capital Ration).

MONITORING AND ACTION PLAN BASED ON CAPITAL PLANNING PROCESS

The company shall define overall risk appetite relating to capital adequacy. As part of this, Early Warning Indicator (EWI) levels shall be established to enable the company to take adequate measures on a timely basis.

Action plan for capital management shall be triggered as part of ICAAP process on breach of EWI established for capital. The risk appetite and capital ratio EWI triggers are defined in the ICAAP policy. The EWI shall be above the regulatory requirement in order to enable the company to identify capital weakness early.

In case the capital ratios are projected to fall below regulatory and acceptable levels, the company shall take actions to either reduce exposures or enhance capital or do both of these.

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REDUCE EXPOSURE

- Suspend potential future expansion, mainly those with high capital needs Downsize a high-risk portfolio; reduce the size of its balance sheet or its growth.
- Change of business policy to focus on a business with lower capital requirements.
- Reduce Risk weighted Assets by changing the asset composition
- Increase operational effectiveness

ENHANCE CAPITAL

- Enhance tier I equity capital
- Retain profits, imposing restrictions on dividends
- Issue other forms of capital such as shareholders loans as permitted by Articles of Incorporation

ROLES AND RESPONSIBILITIES RELATING TO CAPITAL PLANNING PROCESS

The Board of Directors shall be responsible to oversee the capital planning process. Capital raising objectives shall be evaluated against CMA requirements and appropriate action taken. Time horizons for achieving these objectives shall be considered when evaluating the best option for raining capital.

STRESS TESTS AND SCENARIO ANALYSIS

The company has defined a formal approach to stress testing and Scenario Analysis that defines the framework and approach for conducting stress tests to assess the impact on earnings and capital. Stress scenarios have been designed for material risk factors.

STRESS TESTING OBJECTIVES

Stress testing is used to evaluate potential vulnerability of risk management system of the company to certain unlikely but plausible events or movements in financial variables. Stress testing can be done by using sensitivity analysis (wherein impact of change in one variable is assessed on the company's financial position) or using scenario test (which include simultaneous moves in a number of variables based on a single event experienced in the past).

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6- ADDITIONAL IMPACT OF OTHER FACTORS

A) Impact of New Legislation, the actions of Competitors

Saudi Arabia Government or CMA does not make significant legislative changes that will drastically impact the financial institutions. Even if changes to legislations are made, **TAM Capital** believes that the above shock of 50% to revenue or AUM is adequate to meet those changes.

B) Impact of the actions of Competitors

Competition always has an effect on any company. Since **TAM Capital** has a good reputation and has been in existence for several years, there is limited impact of actions of competitors on our operations. Our operations are with an established set of clients.

AMENDMENT TO THE POLICY

This policy document will be reviewed and updated at least once every three years or as and when needed.